

POSITION & PROSPECT: Although Baldwin's operating expenses have been held to a minimum, the lack of locomotive orders in 1933 is likely to be reflected in another net loss for the year. Consolidated bookings have recently exhibited moderate expansion and the 1934 outlook for the company has been considerably improved by loans, which have been granted to a number of roads by the PWA for the purchase of new equipment, including 30 locomotives. Applications are now pending from other carriers for loans for equipment which will include 133 locomotives. Thus, there are definite indications that a start has been made by the carriers to modernize their tractive power, a program which is likely to be in full swing later in 1934. Baldwin, with its strong trade position, may be expected to obtain a goodly share of the business. While effective earnings on the common are still sometime off, especially since the stock is subject to considerable dilution by the indicated eventual exercise of warrants attached to the consolidated mortgage bonds permitting the purchase, at \$5 of 480,000 additional common shares, it appears that common per share losses should show progressive abatement from now on. **FINANCIAL POSITION** is strong.

BACKGROUND: Baldwin Loco. Works is one of the two largest builders of steam locomotives. It also manufactures forgings and castings, hydraulic and special machinery, engines, air conditioning units, refrigeration equipment, etc. The company has a stock interest in General Steel Castings and owns valuable Philadelphia real estate.

CAPITALIZATION: Funded debt, \$15,500,000. 7% cum. pfd. (\$100 par) 200,000 shares, red. at \$125. Common (no par) 843,000 shares. Preferred dividend accumulations total \$17.50 per share at present.

	Earnings		Dividends		Price range	
	Com.	Pfd.	Com.	Pfd.	Com.	Pfd.
1933	Est. \$5.24(<i>d</i>)	Est. \$15.50(<i>d</i>)	None	None	17 ⁵ / ₈ –3 ¹ / ₂	60–9 ¹ / ₂
1932	6.50(<i>d</i>)	20.39(<i>d</i>)	None	None	12–2	35–8
1931	6.55(<i>d</i>)	20.61(<i>d</i>)	\$0.87 ¹ / ₂	\$3.50	27 ⁷ / ₈ –4 ⁵ / ₈	104 ¹ / ₂ –15
1930	1.94	15.18	1.75	7.00	38–19 ³ / ₈	116–84

Caution—This information has been obtained from sources believed to be reliable but is not guaranteed.